

Doubling the Service Attach Rate

9 months Roadmap: 30% → 60%

Channels: Direct | Reseller | Web Store

NOW

30%

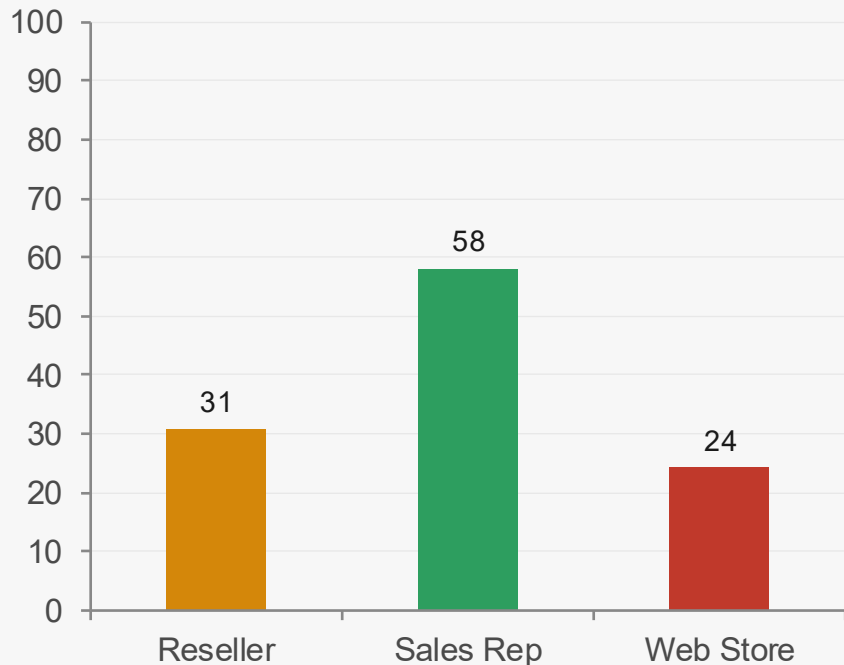
ATTACH RATE

TARGET

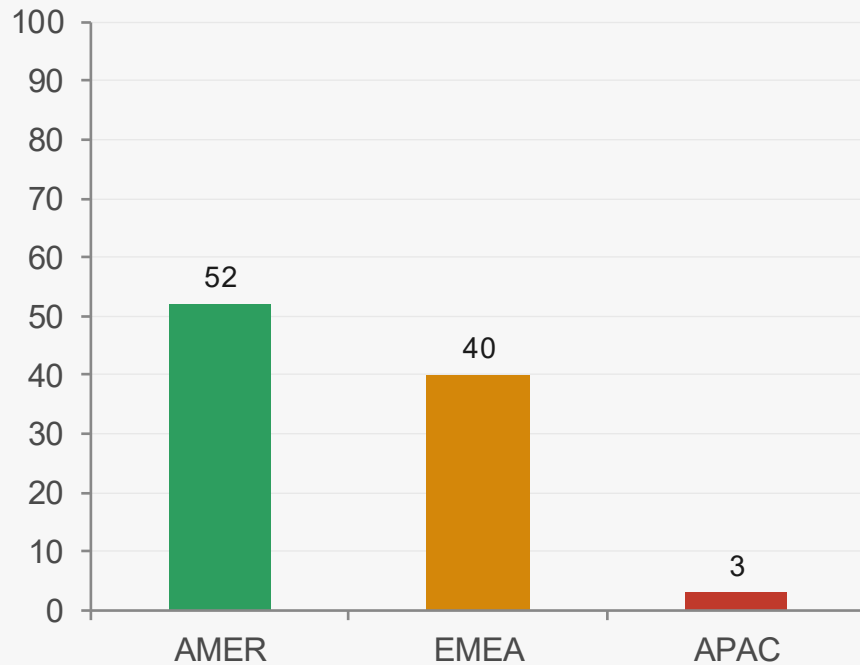
60%

Where we stand today

Attach Rate by Channel



Attach Rate by Region



Attach Rate: % of printers sold that include a service plan in the same transaction period. Calculated as: $\text{Service Plans Sold} \div \text{Printers Sold}$, by channel or region.

THE DATA REVEALS THREE CRITICAL GAPS

APAC Is Nearly Zero

3%

APAC sells 266 printers but only 8 service plans. A structural problem, plans may not be offered, or there is a pricing/distribution gap. Fixing APAC alone could add ~150 plans.

Resellers Underperform

31%

Resellers move 1,044 printers, the highest volume, but attach at only 31%. Even a lift to 45% generates ~145 additional plans. **This is the single highest-leverage lever.**

Web Store Opt-Out Rate

24%

All three plan tiers are prominently shown. 1-yr is pre-selected by default. Yet 76% of buyers opt out, they see the plan but aren't convinced. This is a value pitch failure, not a UX problem.

PRO VS DENTAL: STRONG VALUE PROP WHEN PITCHED IN PERSON

Metric	Form 4 / Pro Plan	Form 4B / Dental Plan
Printers Sold	825	580
Plans Sold (Total)	261	237
Overall Attach Rate	31.6%	40.9%
Reseller Attach	22.7%	38.8%
Sales Rep Attach	57.6%	59.3%
1-Year Plan Mix	18%	17%
3-Year Plan Mix	82%	83%

Key Insight: Sales Reps hit 58-59% attach on both product lines, which means the value proposition works when delivered in person. The gap is channel execution and value communication, not the product.

WHY IS ATTACH RATE LOW?

Hypothesis-driven, to be validated with customer and rep interviews

CHANNEL

Resellers Not Pitching Plans

Partners may prioritize hardware margin and skip the service plan conversation. Lack of training, sales tools, and incentive clarity compounds this.

GEOGRAPHY

APAC Has a Structural Problem

3% attach suggests plans may not be actively offered in APAC, potentially a pricing, awareness, or distribution partner enablement gap.

PRICE PERCEPTION

Web Store: Buyers See Plans, Still Opt Out

Checkout shows 1-yr (\$599), 3-yr (\$1,199), 5-yr (\$1,799), all clearly displayed. Yet 76% choose 'No Plan.' Buyers aren't confused; they're unconvinced. The ROI case must be made before checkout.

TIMING

Post-Purchase Conversion Gap

With 70% of buyers not taking a plan at purchase, there is an untapped pool to convert via post-sale outreach, but we don't know if this is being attempted.

THREE-PILLAR STRATEGY TO REACH 60%

01 Reseller Enablement

- Structured service plan certification for all resellers
- Co-branded pitch decks + ROI calculators
- Tiered bonus: resellers hitting 45%+ attach earn additional margin
- Monthly attach scorecards shared with partner managers

Est. Impact: +~145 plans/period

02 Web Store Conversion

- All 3 plan tiers shown, UX is not the problem
- 76% opt-out: buyers need ROI case BEFORE checkout
- A/B test: cost-of-downtime vs. 'X years free' framing
- Post-purchase email sequence to convert the 76% who opted out

Est. Impact: +~30 plans/period

03 APAC Market Activation

- Audit: are plans actively being offered in APAC?
- Partner with regional distributors on plan training
- Evaluate pricing localization vs. global pricing
- Dedicated APAC service plan KPI and owner

Est. Impact: +~80 plans/period

CHANNEL PLAYBOOKS: WHO DOES WHAT

Channel	Current	Target	Key Actions	Owner
Reseller	31%	55%	Certification program, co-sell playbooks, attach-rate-based margin tiers	Channel Mgr
Web Store	24%	50%	Pre-checkout ROI content, post-purchase opt-out recovery sequence	Mktg + PM
APAC (all ch.)	3%	35%	Audit plan availability, pricing fit analysis, dedicated regional KPI	Regional VP
(OPTIONAL) Sales Rep (Direct)	58%	75%	Objection handling, 5-yr plan push, commission kicker above 65%	Sales Mgr

ENABLEMENT: Give Resellers What They're Missing

Co-Branded Pitch Deck + ROI Calculator

Resellers won't build their own materials. Provide ready-to-use assets with their logo already slotted in.

Quarterly Business Review Add-On

Include each partner's attach rate alongside hardware revenue in every quarterly review. Peer benchmarking drives competitive behaviour.

'First Plan Free' Launch Incentive

Waive the first service plan margin requirement on the next 10 plans sold. Gets reps into the habit of offering plans, creates early wins.

INCENTIVES: Make It Worth Their While

Tiered Margin Structure

Resellers hitting 40%+ attach earn an additional 3–5% margin on all service plans that quarter. Funded by incremental plan revenue.

Deal Registration Bonus for Plans

When a reseller registers a deal that includes a service plan, they receive a higher deal registration bonus than hardware-only deals.

Dedicated Channel Manager Attach KPI

Deals registered with a service plan earn a higher bonus than hardware-only deals. Makes plan inclusion a commercial

PRE-SALE: Make the Case Before Purchase

Pre-Checkout ROI Case

All 3 plan tiers are visible. 76% still opt out. The value case must be made on product pages before the customer reaches checkout, lead with cost-of-downtime, not feature lists.

Case Studies

Feature customers who used hot-swap replacement to avoid production shutdowns. Dental use case is particularly compelling.

Sales Enablement

Email templates, talk tracks, and objection handlers for reps and resellers to use at point of sale.

POST-SALE: Convert the 76% Who Opted Out

30-Day Email

Trigger to every plan-less buyer: 'Your printer warranty window , protect your uptime now.' While new-product anxiety is highest.

60-Day Nurture

Customer story about production downtime prevention. Quantified business impact. Limited-time upgrade offer.

90-Day Final Push

Last-chance messaging before conversion likelihood drops sharply. Clear CTA.

In-Dashboard Prompt

Surface plan upgrade in Formlabs Dashboard for unprotected printers. Highest-context intervention.

RCA: Diagnose Before Spending a Dollar

Distributor Audit: Are Plans Even Being Offered?

One structured call per APAC distributor: "Walk me through your last 5 printer sales , at which point did you present the service plan?" If they can't answer, the plan isn't being pitched.

Pricing Localisation Analysis

Map plan price as % of printer ASP by country vs. AMER/EMEA. A pricing mismatch is a quick fix; a fundamental affordability gap is a different conversation.

Support Language Barrier Check

Formlabs support is listed in English, German, French, and Italian only. If APAC buyers can't access support in their language, that's a product gap that must be fixed before pushing sales.

Action: Activate Based on What We Learn

If Training Gap: Roll Out Reseller Certification

Adapt the global program with local currency pricing and translated materials for JP, KR, AU, SG as a minimum.

If Pricing Gap: Introduce Local Plan Pricing

A 15–20% price reduction anchored to local printer ASP, tested in one market first (Australia), before regional rollout.

APAC Pilot Country

Go deep in one high-volume market for 6 months. Full distributor enablement, localised pricing, localised support. Use the results to build the business case for the region.

PITCH: Land It at Point of Sale

Lead with Downtime Cost, Not Features

Open with: "If this printer goes down without a plan, what does that cost you per day?" Anchor on business risk before quoting the price.

The 5-Year Plan Pitch

\$1,799 = \$360/yr. vs. \$599 for 1-yr. For any customer with 2+ printers or a production dependency, the math is obvious, customers just aren't doing it.

Handle the 'I'll Just Use the Warranty' Objection

"The 1-yr warranty covers defects. A plan means a replacement printer ships before you've even diagnosed the fault."

TOOLS: What Reps Need to Execute

One-Page ROI Leave-Behind

Rep fills in the customer's daily production value, the document does the rest. Makes the decision visual before they leave the room.

CRM Attach Rate Dashboard

Top 5 objections with a two-sentence response each. Reviewed in weekly team stand-up so it becomes muscle memory.

Quarterly Attach Review in 1:1s

Sales managers add attach rate as a standing agenda item in rep 1:1s alongside pipeline and quota.

3-QTR ROADMAP TO 60%

QTR 1

Target: 38–42%

Diagnose & Build

- Conduct reseller attach audit by partner
- Launch post-purchase opt-out recovery email sequence
- Add ROI/cost-of-downtime content to Web Store product pages
- Establish APAC availability baseline

QTR 2

Target: 48–52%

Activate & Incentivize

- Launch reseller certification + tiered margin program
- Deploy ROI calculator and case study library
- In-Dashboard plan upgrade prompt live
- APAC regional pricing/enablement rollout

QTR 3

Target: 58–62%

Optimize & Scale

- Optimize attach incentives based on Q1-2 data
- Drive 3-year plan adoption (already in Web Store , needs active rep/reseller push)
- Automated attach tracking dashboard for leadership
- Evaluate plan expansion (Fuse Series, Form 4L)

30% now

→ 60% target

Primary KPI

Overall Attach Rate

By channel, region, product.
Monthly.

Leading Indicator

Reseller Cert Rate

% of resellers certified on
service plan pitch.

Leading Indicator

Web Store Opt-Out Rate

% of checkouts where buyer
removes the pre-selected plan.

Lagging Indicator

Post-Sale Conversion

% of plan-less owners who add
a plan within 90 days.

Questions I'd Prioritize in My First 15 Days

1. Why is APAC at 3%? Distribution, pricing, or offer-awareness, one call with the regional team will reveal this.
2. What do resellers say when they don't offer a plan? Training/tools gap or incentive gap: different fixes.
3. What is the Web Store checkout opt-out rate and at what step does it occur? Cart analytics will show this immediately.
4. What is the reseller margin on service plans vs. hardware? Determines whether incentive redesign is needed.

THE CASE FOR 60%

Service attach rate is not a marketing problem or a product problem.

It is an execution problem, and it is solvable.

01

Sales Reps prove the value proposition works, 58% attach shows customers say yes when asked properly.

02

The opportunity is concentrated: fix Reseller enablement + APAC activation + Web Store value messaging and you're at 60%. The checkout UX is already sound, buyers need conviction before they get there.

03

The roadmap is sequenced: diagnose in QTR 1, activate in QTR 2, optimize in QTR 3, with clear owners and metrics at each stage.